

3A DAO Redemption Fee Update

Audit report prepared by 0xMilenov

Contents

1 About 0xMilenov **2**

2 Protocol Summary **2**

3 Risk Classification **2**
3.1 Impact 2
3.2 Likelihood 2
3.3 Action required for severity levels 3

4 Executive Summary **3**

5 Findings **4**

1 About 0xMilenov

Independent Security Researcher

As a software engineer based in Bulgaria, 0xMilenov is a passionate expert in blockchain security, with a keen focus on **Web3, smart contracts, and vulnerability detection.**

Collaborating with renowned figures, he's contributed significantly to Web3 security projects and developed impactful tools.

0xMilenov's blend of technical expertise, community building, and proactive security research establish him as a dynamic and influential figure in the blockchain security landscape.

Feel free to reach out on X or 0xMilenov

2 Protocol Summary

3A DAO Redemption Fee Update

The recent audit of 3A DAO's smart contract update, focusing on **redemption fee adjustments**, revealed the introduction of a **redemption kickback rate** and a **maximum redeemable percentage**. These changes aim to enhance the redemption process by incentivizing participation and ensuring system stability through controlled redemptions.

Upon thorough inspection, **no vulnerabilities were found in the updated code**. The modifications are well-implemented, ensuring the smart contract remains secure and aligned with 3A DAO's protocol enhancements.

Learn more at `https://3adao.org/`

Disclaimer: This security review does not guarantee against a hack. It is a snapshot in time of {X} according to the specific commit. Any modifications to the code will require a new security review.

3 Risk Classification

	Impact: High	**Impact: Medium**	**Impact: Low**
Likelihood: High	Critical	High	Medium
Likelihood: Medium	High	Medium	Low
Likelihood: Low	Medium	Low	Low

3.1 Impact

- High - leads to a loss of a significant portion (>10%) of assets in the protocol, or significant harm to a majority of users.
- Medium - global losses <10% or losses to only a subset of users, but still unacceptable.
- Low - losses will be annoying but bearable--applies to things like griefing attacks that can be easily repaired or even gas inefficiencies.

3.2 Likelihood

- High - almost certain to happen, easy to perform, or not easy but highly incentivized
- Medium - only conditionally possible or incentivized, but still relatively likely
- Low - requires stars to align, or little-to-no incentive

3.3 Action required for severity levels

- Critical - Must fix as soon as possible (if already deployed)
- High - Must fix (before deployment if not already deployed)
- Medium - Should fix
- Low - Could fix

4 Executive Summary

Overview

Project	3A DAO Redemption Fee Update
Repository	3a-borrowing-protocol-v2
Commit	...
Date	March 2024

Issues Found

Severity	Count
Critical Risk	0
High Risk	0
Medium Risk	0
Low Risk	0
Informational	0
Gas Optimizations	0
Total Issues	**0**